

PRIVATE CAPITAL AND ACCELERATORS · CATEGORY 5

Where this money collides

Four interactions between equity capital and the programs already tracked. None of them is a reason not to raise. All of them are cheaper to know now than to discover during diligence.

1. THE ENTITY ITSELF

The expensive one

YC INVESTS IN CORPORATIONS, NOT LLCs

Y Combinator states it invests in US, Canada, Cayman, and Singapore corporations, and that companies incorporated otherwise must restructure to put a parent company in one of those four. PlastiBioFuel is an LLC.

The cost is not the filing fee. UEI KQAWZ54RDUM8, CAGE 175D6, the SAM.gov registration, and the SDVOSB certification all attach to the LLC. A new parent entity is a different legal person, and federal registrations and certifications do not travel with it automatically. Anything already submitted under the LLC, including the DOE pitch, was submitted by an entity that would no longer be the parent.

This is answerable and companies do it constantly. It is not a paperwork afternoon, and it should be priced before an accelerator application, not after an acceptance.

2. THE \$2M CAPS

Both September 15 programs

Activate Fellowship	Must not have raised more than \$2M in debt or equity from non-governmental sources at the application deadline. Applications open September 15.
ORNL Innovation Crossroads	Must have raised no more than \$2M from non-government sources in the three years prior to application. Applications open September 15 and close October 30.
What that means here	A YC deal at \$500,000 or an SOSV check does not break either cap on its own. Both caps are cumulative and both are measured at application. Raising a seed round on top of an accelerator check is what breaks them.
Order of operations	Applying to the federal fellowships first costs nothing and forecloses nothing. Raising first can foreclose them. That asymmetry is the whole point of this row.

3. SBIR OWNERSHIP

Less dangerous than it sounds

SBIR eligibility requires the concern be more than 50 percent owned and controlled by US citizens or permanent residents, or by other small business concerns that are themselves so owned. A \$500,000 SAFE converting to single-digit percentages does not approach that line, so an accelerator check is not by itself an SBIR problem. Majority ownership by investment funds is a different matter: only some agencies permit it, only for a portion of their awards, and it requires specific registration with SBA. The number to watch is cumulative institutional ownership across rounds, not the first check.

4. THE PROVISIONAL PATENT CLOCK

Confirm before posting anything public

THE DATE MATH, WHICH MAY ALREADY HAVE RUN OUT

USPTO provisional application 63/848,456 was filed in July 2025. A provisional lasts twelve months and cannot be extended. That put the conversion deadline in July 2026, which is in the past as of this run.

If a non-provisional or a PCT application was filed before it lapsed, the priority date holds and this row is closed. If it was not, the priority date from that provisional is gone, and the technology's public exposure to date becomes the governing question rather than a formality. This matters directly to the plan to post the immobilization result publicly. Public disclosure before a filing is a bar to patenting in most countries outside the United States, which apply absolute novelty with no grace period, and it starts a one-year clock in the United States. Confirm the filing status with patent counsel before any public post, not after. Nothing else in this package is worth as much as that one phone call.